Do Populists Rebuild Manufacturing? Evidence from Cross-Country Event Studies

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Abstract

Populist movements frequently promise to rebuild domestic manufacturing. This paper evaluates whether populist governments systematically deliver on that promise. Using a panel of 86 countries from 1960 to 2019, we examine manufacturing output and employment—both in levels and relative to GDP—using two-way fixed effects models and dynamic event-study methods. To account for global structural change, manufacturing performance is evaluated relative to multiple peer groups defined by region, income level, economic size, population, and initial manufacturing structure. The event-study analysis distinguishes inherited manufacturing conditions from subsequent policy effects. Our principal finding is straightforward: across specifications, we find little evidence that populist governments systematically improve manufacturing performance relative to comparable countries. Although individual estimates occasionally attain statistical significance, these effects are generally short-lived and not consistently replicated across benchmark groups. The pre-treatment estimates reveal some differences in inherited manufacturing trajectories, particularly in manufacturing's shares of GDP and employment, but no single pattern is uniformly significant across outcomes and benchmark groups. Following populist entry, temporary improvements occasionally emerge, but they are not sustained and frequently give way to relative deterioration over longer horizons. Overall, the evidence suggests that populist governments rarely fulfill one of their most prominent economic promises.

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Introduction

Populists have long been recognized for distinguishing between "us" and "them" and constructing policy around that division. In general, "us" consists of those perceived to have been overlooked,

marginalized, or harmed by existing political and economic arrangements, while "them" consists of those viewed as responsible for those outcomes. The specific groups identified as "them" differ across countries, cultures, and historical periods, but frequently include political and economic elites, foreign competitors, multinational corporations, immigrants, or other groups perceived to have benefited at the expense of ordinary citizens.

Within this worldview, manufacturing occupies a distinctive place. Manufacturing jobs are geographically concentrated and are closely associated with regional identity, economic security, and perceptions of national strength. Consequently, promises to restore or strengthen domestic manufacturing have become one of the most visible and enduring economic themes of populist movements. Although left- and right-wing populists differ substantially in many policy dimensions—and often advocate different means of achieving industrial renewal—both frequently claim that domestic manufacturing has been weakened by political and economic elites and can be restored under a populist government. Because this promise is shared across otherwise diverse populist movements, we intentionally do not distinguish between left- and right-wing populism in the present analysis. Our objective is to evaluate whether populist governments, regardless of ideological orientation, systematically deliver on one of their most visible economic commitments.

Despite the prominence of manufacturing in populist rhetoric, surprisingly little empirical evidence addresses whether populist governments actually succeed in rebuilding manufacturing after taking office. Existing research has primarily focused on the causes of populism and its broader economic consequences, including growth, inflation, fiscal policy, trade, institutional quality, and macroeconomic performance. Comparatively little attention, however, has been devoted to manufacturing itself, even though industrial revival is among the most common economic promises made by populist politicians.

Beyond this, existing discussions largely take for granted that manufacturing decline precedes populist success. Yet remarkably little evidence documents whether countries that ultimately elect populist governments actually experience systematically different manufacturing trajectories before populists enter office. Distinguishing these inherited manufacturing conditions from the subsequent effects of populist governments is therefore central to evaluating whether populists simply capitalize on existing industrial decline or whether they subsequently alter those trends once in office.

This paper addresses that gap using event-study methods applied to a large cross-country panel. We compare countries that experience populist entry with carefully constructed peer groups and trace manufacturing outcomes before and after populist governments assume office. Our empirical strategy allows us to distinguish pre-existing, inherited manufacturing conditions from

post-entry, potentially polity-driven developments while controlling for country and year fixed effects.

The paper makes three contributions. First, it documents the manufacturing trajectories that precede populist entry. The pre-treatment estimates reveal differences in both manufacturing's share of GDP and its share of employment, although the precise patterns and statistical significance vary across outcomes and benchmark definitions. These descriptive findings provide context for understanding why industrial revival may become politically salient without implying that manufacturing decline causes populist entry. Second, the paper evaluates whether these inherited trajectories change systematically after populists take office. Third, by comparing results across multiple peer-group definitions, we demonstrate that the principal post-entry conclusions are not driven by any single benchmark construction.

Consistent with this framework, our results provide little evidence that populist governments systematically rebuild manufacturing. Across a range of manufacturing outcomes and comparison groups, post-treatment effects are generally small, statistically weak, or inconsistent across specifications. Although some individual estimates suggest temporary improvements or deteriorations, we find no broad evidence that populist governments consistently reverse the manufacturing conditions they inherit. The event studies also reveal that some manufacturing outcomes were already changing before populists entered office, but the clearest common result occurs afterward: any improvements are temporary, and populist governments do not produce sustained gains in manufacturing output or employment.

The remainder of the paper proceeds as follows. The next section reviews the related literature and develops the paper's empirical motivation. We then describe the data, explain the identification strategy and event-study methodology, present the empirical results, examine the pre-treatment patterns and post-treatment effects, and conclude with implications for understanding one of populism's most enduring economic promises.

Literature Review

The modern literature on macroeconomics and populism began in the 1980s with the rise of populist regimes across Latin America. While there was some early work by Drake (1982), Sachs (1989) and others, the modern view of populist macroeconomics was largely established through the work of Dornbusch and Edwards (1990) and the results of many researchers brought together by them and published in their conference collection, Dornbusch and Edwards (1991). That early literature focused on broad macroeconomic issues like balance of payments problems under fixed exchange rate regimes with unsustainable monetary and fiscal policy. Broad macroeconomic analysis was combined with detailed country-level political narratives, including a discussion of

the strong redistributive interests of populist regimes which were achieved mostly through transfers, wage and price controls and the like.

While not usually the focus of the research – quite logically since the macro imbalance problems dwarfed most other issues - there was already a recognition that industrial policy was central to populist claims and political objectives. Drake (1982, p. 218), as cited in Dornbusch and Edwards (1990), argued that the "[programs] normally respond to the problems of underdevelopment by expanding state activism to incorporate the workers in a process of accelerated industrialization through ameliorative redistributive measures".

Bazdresch and Levy (1991) argued further that Latin American populism systematically included industrialization as a major policy goal. Castro and Ronci (1991), in examining the case of Brazil, argued that industrialization has essentially always been a major populist policy goal dating back well before the 1980s. They write that, in Brazil, the "1930 revolution had broken up the old regime and brought forward a group of "young lieutenants"- mostly military -that lined up in favor of a new protectionist rule to promote domestic industries".

The effort to increase the domestic industrial-manufacturing base appears part and parcel of populist policy. This continues today with what are often called "new populists", defined in contrast to the "classical populists", generally seem as the left-leaning populists of the 1980s. Classical populist policies are described by Edwards (2019) as "a range of policies—protectionism, agrarian reforms, controls and regulations, and the nationalization of large companies—[*sic*] put in place by populist regimes, but the emphasis was on fiscal largesse financed by money creation as the main redistributive mechanism." New populists and their policies, by contrast, tend to be more right-leaning, to have flexible exchange rate regimes and not to go to the same extreme in monetary and fiscal policy. As a result, they also tend to avoid balance of payments crises and hyperinflation.

A common element, however, continues to be redistribution (from "them" to "us") through a range of policies, including pro-manufacturing industrial policy. Despite important differences in ideology and policy implementation, both classical left-wing and contemporary right-wing populist movements have repeatedly portrayed the revival of domestic manufacturing as a central economic objective. It is this common element, rather than the differences between populist traditions, that is the focus of this paper. Both classical and new populists, additionally, oppose globalization which necessarily requires efforts to protect and grow the country's domestic manufacturing base. Classical populist leaders were staunchly nationalistic, opposed foreign investors and often nationalized multinational firms (Edwards, 2019). New populists tend to oppose globalization more broadly championing national identity and fighting the loss of their domestic cultural heritage, criticize multilateral organizations and use government controls as a

way to redirect income to particular groups, in particular via industrial policies like nationalization and general protectionism to support domestic industries (Edwards, 2019).

Recent work has built on the classical versus new populists by distinguishing further between left- and right-wing populism, emphasizing they can differ in important ways. Bergh and Kärnä (2022), for example, argue that unemployment is more closely associated with left-wing populism, while stricter employment protection is associated with right-wing populism. Bjørnskov and Berggren (2026) similarly distinguish between left- and right-wing populism when studying institutional outcomes, emphasizing that populism is a thin-centered ideology that can attach itself to different ideological programs. Our question is different. We do not ask whether left- and right-wing populists pursue identical policies across all dimensions. Rather, we ask whether a recurring objective shared across many populist traditions be they classical, new, left or right —the revival and protection of domestic manufacturing—is achieved once populists enter office.

Sonno et al (2017), Margalit (2019), Tabellini (2019), Docquier et al (2024) and others identify the rise of populism with the perceived harm to traditional domestic manufacturing due both to imports and foreign competition as well as technological advances. In their view, broadly, the spread of globalism generally and the rise of China, specifically, since the late 1990s has combined technological improvements to harm a specific demographic "socially conservative and less educated social strata" (Tabellini, 2019) that has led to support for a more conservative new populism in recent years. Others such as Docquier et al (2024) highlight that migration issues have also been on the rise adding to the populist backlash against globalization.

Colantone and Stanig (2019) argue, however, that economic issues are the main driver of the rise of populism in Europe starting with growing economic nationalism reflected in campaigns such as Brexit and other anti-globalist movements. In Europe, they argue that "[e]ntire manufacturing regions have lost prosperity over time. All this provides fertile ground for the electoral success of parties promising protectionism" (Colantone and Stanig, 2019, p. 136). And in the US, industrial policy to rebuild manufacturing has found support from the work of Autor, Dorn, and Hanson (2013) which highlights "the negative effects of the China shock on the US economy due to the displacement of domestic manufacturing." (Colantone and Stanig, 2019, p. 136). Their own work then indicates that the China shock has had effects larger than even Autor, Dorn, and Hanson (2013) claimed, especially on the electorate and, hence, on support for populism.

Since the ascent of populism in more recent years, academic interest has continued to focus in general on the causes of the rise. The first article we know of to ask the next logical question was Ball et al (2019) who asked about the effects of the policies of populism generally and if there is any difference between the likely economic outcomes of classical and new populist movements. Their work largely updated and formalized the populist boom-bust cycle identified by Dornbusch and Edwards (1990) which they called a walking-stick pattern (i.e., "inverted J-curve") to capture

that the boom is followed by prolonged decline, even under new populist regimes. Their work was followed by Funke et al (2023) who additionally developed an updated index of populism that includes more modern populist regimes. Asutay et al (2025) combined the insights of Ball et al (2019) and Funke et al (2023) with a theoretical model of populist policies that generates walking stick patterns and allowed one to distinguish between classical populist and new populist polices in the data.

The results of this line of populist macroeconomics research are, however, largely based on macroeconomic outcomes of GDP, inflation, unemployment and the TFP growth (in the case of Asutay et al, 2025). While we know new and old populist regimes tend to generate booms and busts, the question remains as to whether they at least succeed at rebuilding manufacturing. The most recent populist political movements argue that, once again, they will. Trump's MAGA Republican party in the USA (GOP 2024), Prime Minister Meloni's Fratelli d'Italia (Fratelli d'Italia 2022) and the AfD in Germany (Alternative für Deutschland 2025) have all claimed their policies will rebuild the industrial base or reshore manufacturing, back from foreign competitors.

The program of Fratelli d'Italia (Prime Minister Meloni's party) for the political elections 2022 (which they won) included two sections dedicated to sustaining "people who are creating welfare and jobs in Italy, incentivize relocation of production in Italy and discourage relocation abroad" and to "relance made in Italy, our mark, our proud" (Fratelli d'Italia 2022, sections S*ostenere il Sistema Imprenditoriale italiano,* Sostenere il sistema imprenditoriale italiano – Programma Fratelli D'Italia – Programma Fratelli D'Italia and *Made in Italy e orgoglio italiano,* Made in Italy e orgoglio italiano – Programma Fratelli D'Italia). After their first two years of government, they claimed success in employment and GDP growth (Fratelli d'Italia 2024, p. 3ff). Other Italian populist parties, such as Berlusconi's Forza Italia and Lega Nord (now only called Lega), also sold themselves as protectors of the manufacturing class (Lega 2022, p.16ff and 117; Forza Italia 2022, p.29f).

The AfD, Germany's largest populist party, argued that "Germany as an industrial location has lost attractivity and trust" and that the AfD should change this with new energy, tax, labor policies (Alternative für Deutschland 2025, p.13ff). Not surprisingly, the AfD received wide support in East Germany where manufacturing has fallen relative to the rest of the country. In their programs in regions like Saxony, Thuringia and Brandeburg (where they often are the strongest party), their representatives promised to sustain quality, local, small-sized manufacturing that create jobs and acts as a "motor" for the whole country (AfD Sachsen 2024, p.24ff; AfD Thüringen 2019, p. 37ff; AfD Brandenburg 2024, p.23ff).

The Trump administration in the United States made growing manufacturing's share of GDP and employment an explicit policy goal in their 2024 agenda (GOP 2024). Since winning the election, the administration's policies have pursued this through the tax code, deregulation, targeted

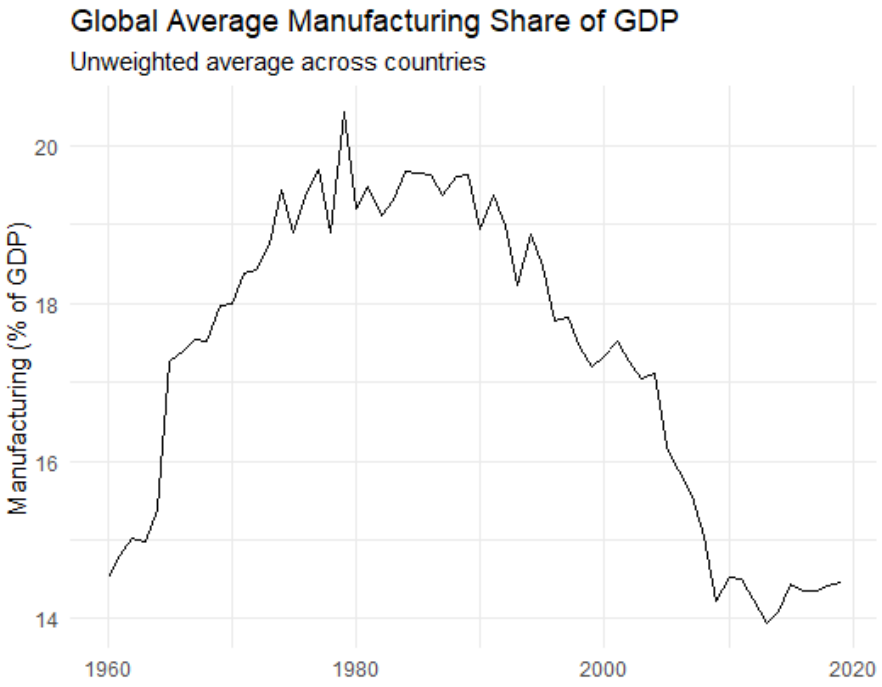
industrial policy and protectionist tariff policy. The Trump administration even published an article on the White House website entitled "President Trump Continues to Drive an American Manufacturing Boom" (White House 2025), listing actions the administration has taken to reshore manufacturing.

The history of populists claiming to increase industrialization/manufacturing is a long one and continues today with new populists. We next turn to testing whether populists, once in office, had any effect on manufacturing output and/or employment. We start by describing our data and global trends, then define relevant peer groups for comparisons and finally proceed with static then dynamic econometric analysis.

Local Manufacturing in a Global Context

The general trend in manufacturing worldwide provides some insight for why economic insecurity, especially for those likely to rely on traditional manufacturing jobs, might have lent support to populism. As Graph 1 shows, the average manufacturing share of GDP was rising in the 1970s but plateaued in the 1980s, flattening during the period when support for classical populism was on the rise in Latin America. It has been declining since the 1990s and the rate of decline accelerated in the 2000s, during the period when support for new populism has been on the rise.

GRAPH 1: Global average manufacturing share of GDP, 1970 – 2020



That the trend indeed is global means one needs to account for it when exploring any particular country's policy successes or failures. Critics of the Trump administration, for example, have already been pointing to the global trend as evidence that Trump's policies are failing and doomed to fail given the global trend (see The Economist, 2025, and Delouya, 2025, as examples). In Italy, critical voices have also called into question whether Meloni's administration is sustaining industrial growth as it promised to do (See Il Sole 24 Ore 2025).

To account for the global trend, all our analysis is conducted as performance relative to peers. We create six peer groups, each designed to capture various aspects of the local country's economy: Regional, GDP-size, Population, GPD per capita, Manufacturing-share and Manufacturing-employment. These are discussed further below. We then compare domestic manufacturing's share of GDP and total output as well as manufacturing's share of employment and total employment relative peer performance during local populist regimes. Our econometric approach relies on a two-way fixed effects dynamic panel model as a first pass to find any evidence on average. We then turn to event studies to explore whether there are dynamic effects or delayed effects in order to give populist regimes the best possible chance to present positive results in the data. Finally, we conclude.

Data

Our data comes from the Global Macroeconomic Database (Müller et al. 2025) merged with World Bank data (Jongrim Ha and Ohnsorge 2023) on manufacturing as a share of GDP and of employment. Our populist regime classification comes from Funke, Schularick and Trebesch (2023).

We identify populist governments using the leader-based classification developed by Funke, Schularick, and Trebesch (2023). Their coding adopts a deliberately restrictive approach, classifying only political leaders for whom there is broad agreement in the comparative-politics literature that they are populists. We use the Funke et al. (2023) classification throughout the paper because it has become a widely used benchmark dataset in the empirical economics literature on populism and because it is a conservative measure of populism.

We conduct two robustness checks using broader populist classifications. First, we use the broader Asutay et al (2025) classification based on Weland's (2001) radial definition which is a broad and hence adds some regimes not counted by Funke et al. (2023). Second, we combine the Asutay et al (2025) with Hawkins et al (2019) which classifies regimes as populist based on a holistic grading system analyzing language in the public speeches of political leaders. Hawkins et al (2019) then calculates a total score between 0 and 2 where 2 is the most populist possible. In

our robustness check we code any regime scoring above .75 as populist[1] and then combine these populists with any captured as well by Asutay el al (2025) making the broadest measure for robustness. All our principal conclusions remain unchanged across classifications. In essence the broader definitions merely tend to weaken statistical significance in some cases. All results are available upon request.

We are generally interested in manufacturing as a share of GDP as the key metric of "rebuilding manufacturing" or "re-industrializing". Of additional interest is manufacturing employment as a share of total employment. Since our data on manufacturing's share of GDP and of employment both come from the World Bank, we use World Bank data on the total labor force and on GDP to reconstruct them in levels. Thus, manufacturing's total output in levels is its manufacturing share of GDP multiplied by GDP and manufacturing's total employment level for a country is its employment share times total employment. Political leaders could easily claim success in reindustrializing if manufacturing's share of GDP increases but, failing a relative improvement, they might still claim success if they the total level of manufacturing rises. Similarly, they can claim success in bringing back traditional manufacturing jobs if they increase relative to overall employment but also if the total number of jobs increases.

A complete table covering the time periods for our data by country is in the Appendix TABLE A.1. Our earliest data for GDP and manufacturing shares of GDP starts in 1960. While some of our data runs until 2023 or even 2024, we restrict analysis up to 2020 due to Covid. We are interested in general trends evolving over long horizons and data for 2020 and 2021 only add distortions to all the trends.

Because our specifications include country and year fixed effects, we do not additionally include time-invariant country characteristics or global controls. Country fixed effects absorb permanent differences across countries, while year fixed effects absorb common global shocks affecting all countries simultaneously. The remaining variation therefore comes from within-country changes over time.

Peer Groups

We create six peer groups against which we compare populist regimes: Regional, GDP-size, Population, GPD per capita, Manufacturing-share and Manufacturing-employment. The peer groups are designed to capture various aspects of being "a peer". Regional peers are more likely to have similar cultures, political institutions and potentially similar levels of economic development as well. Population and GDP per capita peers are included to capture market size similarities while GDP per capita also captures the level of economic development. Finally,

[1] As a point of reference, Donald Trump in the USA (2017-2020) earns a .78, Viktor Orban in Hungary earns .825-.875, Daniel Ortega in Nicaragua (2012-2016) earns 1, Alexander Lukashenko in Belarus (2001-2006) earns a 1.5 and Hugo Chavez in Venezuela (1999-2006) earns the highest, a 1.92.

manufacturing-share (of GDP) peers and manufacturing-employment (share of total employment) peers capture peers with the similar manufacturing base structures in the two dimensions we try to measure: GDP and employment.

Further details on each peer group can be found in the Appendix. It is worth noting, however, that data on manufacturing's share of GDP begins in 1970 or earlier, while data on manufacturing's share of employment generally begins around 2000. For variables such as GDP, population and GDP per capita that evolve over time, we intentionally assign countries to peer groups using a fixed baseline year rather than allowing peer groups to change throughout the sample. Holding peer groups fixed avoids making the benchmark endogenous to the outcomes being studied and provides a stable comparison group throughout the analysis.

A few countries have GDP and manufacturing-share data beginning in 1960, but most countries enter the sample by approximately 1980. We therefore use 2000 as the reference year for constructing all peer groups except manufacturing employment. Because 2000 is approximately the midpoint of the 1980–2019 sample period for the majority of countries, it provides a representative classification that is neither driven by early nor late sample observations. Manufacturing employment data are only widely available beginning around 2000, so for manufacturing-employment peer groups we instead use 2010, the approximate midpoint of the 2000–2019 sample.

We calculate all manufacturing outcomes relative to peer groups. For example, manufacturing's share of GDP relative to peers is calculated as the difference between the domestic manufacturing share and the average manufacturing share of the relevant peer group. Positive values therefore indicate that manufacturing performance is higher than that of comparable countries.

One potential concern with this approach is that manufacturing policies adopted by one country may influence outcomes in other countries through trade diversion or other international spillovers. Such effects could violate the stable-unit-treatment-value assumption (SUTVA) if peer-group comparisons themselves formed the basis of identification. In our case, however, the peer groups are used solely to construct the dependent variable by expressing domestic manufacturing outcomes relative to comparable countries. Identification instead comes from within-country changes over time in the two-way fixed-effects specifications and from the staggered timing of populist entry in the Sun and Abraham (2021) event-study estimator. Nevertheless, if international spillovers materially affected the peer-group benchmarks, they could influence the measured relative outcomes. To assess this possibility, we repeat the analysis using six substantially different peer-group definitions. The consistency of the results across these alternative benchmarks suggests that any such spillover effects are unlikely to be driving our principal findings.

Empirical Analysis: Two-Way Fixed Effects

We estimate two-way fixed effects (TWFE) regressions to examine the association between populist regimes and our manufacturing outcomes (manufacturing share of GDP, manufacturing share of employment, manufacturing's total output and total manufacturing employment), each computed relative to various peer-group benchmarks. All specifications include country and year fixed effects, so identification comes from within-country changes over time, net of common global shocks. Standard errors are clustered at the country level to account for serial correlation within countries. Each column corresponds to a different peer-group definition used to construct relative manufacturing performance measures.

For country i in year t, we estimate:

$$Y_{it} = \beta \,\text{Populist}_{it} + \alpha_i + \gamma_t + \varepsilon_{it},$$

where Y_{it} is a manufacturing outcome measured relative to a peer-group benchmark, i.e. manufacturing's share of GDP, manufacturing's employment share, or manufacturing output/employment levels relative to peers; $Populist_{it}$ is an indicator equal to one if country i is governed by a populist regime in year t, and zero otherwise; α_i are country fixed effects, capturing time-invariant country characteristics such as geography, long-run industrial structure, or institutional features; γ_t are year fixed effects, capturing global shocks and common trends affecting all countries (e.g., business cycles, commodity price shocks, globalization); and ε_{it} is an idiosyncratic error term.

Table 1 reports two-way fixed-effects (TWFE) estimates of the association between populist governments and manufacturing outcomes measured relative to alternative peer-group benchmarks. Each specification includes country and year fixed effects, so identification comes from within-country changes over time after removing permanent cross-country differences and common global shocks. The estimated coefficient therefore summarizes the average association between populist governments and manufacturing performance over the entire period a populist government remains in office. Because treatment effects may evolve over time, these estimates should be interpreted as average effects rather than as constant causal impacts.

Each column presents results according to the peer group used to construct the relative outcome variable, allowing one to assess the robustness of results to alternative comparison sets. The overwhelming finding is that the results are generally not statistically significant, suggesting that populist regimes have no meaningful effect on manufacturing in their countries.

TABLE 1: TWFE Results

Variable for Populist Regime	PEER GROUP					
	Region	**GDP-size**	**Population**	**GDP per capita**	**Manuf % GDP**	**Manuf % Employ**
Manuf % GDP	-0.1767	0.1709	0.7544	0.2715	-0.0776	-0.1361
Obs.: 2,807	(0.5947)	(0.7587)	(0.8188)	(0.7766)	(0.6432)	(0.7141)
Within R2	0.00021	0.00014	0.00301	0.00040	3.78e-5	9.65e-5
Manuf % Employ	0.3277	0.5172	0.3710	-0.0959	0.5183	0.4985
Obs.: 2,203	(0.4897)	(0.6664)	(0.6044)	(0.5510)	(0.6498)	(0.6340)
Within R2	0.00171	0.00329	0.00185	0.00018	0.00327	0.00311
Manuf Output Level	4.28e+10*	-2.15e+9	2.15e+9	-1.94e+10	2.04e+10.	2,08e+9
Obs.: 2,807	(1.88e+10)	(1.86e+10)	(1.66e+10)	(3.1e+10)	(1.14e+10)	(1.27e+10)
Within R2	0.01046	7.27e-5	2.97e-5	0.00239	0.00283	2.87e-5
Manuf Employ	1,406,826.4	412,846.2	32,741.2	-139,248.2	868,180.5	438,322.7
Level Obs.: 2,200	(1,004,524.1	(678,273.7)	(613,822.2)	(520,222.5)	(1,026,239.8)	(691,704.5)
Within R2	0.00624	0.00054	3.98e-6	5.04e-5	0.00111	0.00058

Notes: All results use country and year fixed effects. All standard errors are clustered at the country level and numbers in parentheses are cluster-robust standard errors. Significance indicated by 0 '***' 0.001 '**' 0.01 '*'

Across all four manufacturing outcomes, the TWFE estimates provide little evidence of a systematic association between populist governments and manufacturing performance. For manufacturing shares of GDP and employment, estimated coefficients are small, change sign across benchmark definitions, and are never statistically significant. Estimates for manufacturing output and employment levels likewise display no consistent pattern. Only one coefficient—the manufacturing output specification using Regional peers—is statistically significant, but it is not reproduced across alternative benchmark definitions.

The within R^2values are small across specifications, reflecting the fact that most of the variation in manufacturing outcomes is absorbed by country fixed effects and global time trends. The coefficients therefore capture relatively small within-country deviations from long-run manufacturing trajectories.

Taken together, the TWFE estimates provide little evidence that populist governments systematically affect manufacturing performance. By construction, however, TWFE estimates summarize an average effect over the entire duration of a populist government. If policy effects emerge gradually—or vary over time as governments implement industrial policies and firms adjust investment and employment decisions—a single average coefficient may conceal important dynamics. We therefore turn to a dynamic event-study framework that traces manufacturing outcomes before and after populist entry.

Dynamic Event Study Results

To capture the dynamic effects of populist governments, we estimate event-study models using the Sun and Abraham (2021) estimator, which accommodates staggered treatment timing and heterogeneous treatment effects while comparing manufacturing performance relative to appropriate peer benchmarks. The event-study framework traces manufacturing outcomes both before and after populist entry, relative to the year immediately preceding entry into office. This provides two advantages. First, it allows us to examine whether countries that subsequently elect populist governments already exhibit distinctive manufacturing trajectories prior to treatment. Second, it allows us to distinguish any post-entry changes from longer-run trends that were already underway before populists assumed office. Without accounting for these pre-treatment dynamics, post-treatment changes could easily be mistaken for policy effects when they instead reflect the continuation of pre-existing manufacturing trends. Finally, because governments rarely implement major policy changes immediately upon taking office—and because any resulting economic effects emerge only gradually—the event-study framework allows us to evaluate both the timing and persistence of any manufacturing response.

Unlike many event-study applications, which primarily use pre-treatment estimates as a diagnostic for identification, we also interpret the pre-treatment dynamics substantively. These estimates provide descriptive evidence on the manufacturing environments in which populist governments typically come to power, allowing us to distinguish inherited manufacturing conditions from the subsequent effects of their policies.

Dynamic Event Study Results

The Sun and Abraham (2021) estimator is specifically designed for settings in which treatment occurs at different points in time across countries. At each event date, the comparison group consists of countries that have not yet experienced a populist entry together with countries that never experience a populist regime during the sample period. Countries contribute to the control group only until they themselves become treated; once a populist regime enters office, they are no longer used as controls for subsequent event times. This approach avoids the contamination that can arise in conventional two-way fixed-effects event studies when already-treated observations serve as controls for later-treated units.

For country i in year t, we estimate:

$$Y_{it} = \sum_{k \neq -1} \beta_k \mathbb{1}(t - T_i = k) + \alpha_i + \gamma_t + \varepsilon_{it},$$

where Y_{it} is a manufacturing outcome measured relative to a peer-group benchmark, including manufacturing GDP share, manufacturing employment share, manufacturing output level, or manufacturing employment level; T_i denotes the year of entry into a populist regime for country

i, $\mathbb{1}(t - T_i = k)$is an indicator equal to one if year t is k years relative to populist entry; α_i are country fixed effects; γ_t are year fixed effects; and, ε_{it} is an idiosyncratic error term.

The model is estimated by the Sun and Abraham (2021) interaction-weighted event-study estimator. This estimator is designed for settings with staggered treatment adoption and allows treatment effects to vary flexibly by both cohort and event time. Event time $k = -1$ is omitted and serves as the reference period. The specification then estimates cohort-specific dynamic effects and aggregates them into event-time coefficients β_k that are robust to heterogeneous treatment effects across cohorts.

To conduct the analysis, one first determines the window of time when a populist regime takes office. Exact window lengths are a choice. Our data runs from 1960 to 2019 and includes 86 countries in total, 31 of which had a populist regime in office for at least 1 year. Populist regimes in our sample last on average 7.55 years with a standard deviation of 5.96 years. This is slightly biased by a few long regimes, the max length being 37 years. The median length in our sample is 6 years. See Appendix Table A.6. for more details.

Choosing the event window necessarily involves a tradeoff between the length of the pre-treatment period and the number of populist episodes that can be included in the analysis. Requiring long uninterrupted pre-treatment histories would substantially reduce the available sample because many countries enter the dataset only in later years or experience populist entry relatively early in the sample period. We therefore adopt a six-year pre-treatment window, which provides sufficient observations to evaluate pre-treatment trends while preserving the broad cross-country coverage of the sample.

For the post-treatment period, we seek to allow sufficient time for manufacturing policies to be implemented and to influence production and employment decisions. Manufacturing investment, employment, and production decisions typically adjust only gradually, so any policy effects are unlikely to be immediate. At the same time, the event window should reflect the observed duration of populist governments rather than extend far beyond their typical time in office.

Populist regimes in our sample last an average of 7.55 years with a standard deviation of 5.96 years (Appendix Table A.6). We therefore report estimates through fourteen years after populist entry —approximately the mean regime length plus one standard deviation—with the final event-time coefficient combining all observations occurring fifteen or more years after treatment. The resulting event window of $k \in [-6, +15]$ provides five years of individual pre-treatment estimates, fourteen years of post-treatment estimates, and a terminal bin for longer horizons, allowing sufficient time for delayed policy effects while maintaining adequate sample sizes across event periods.

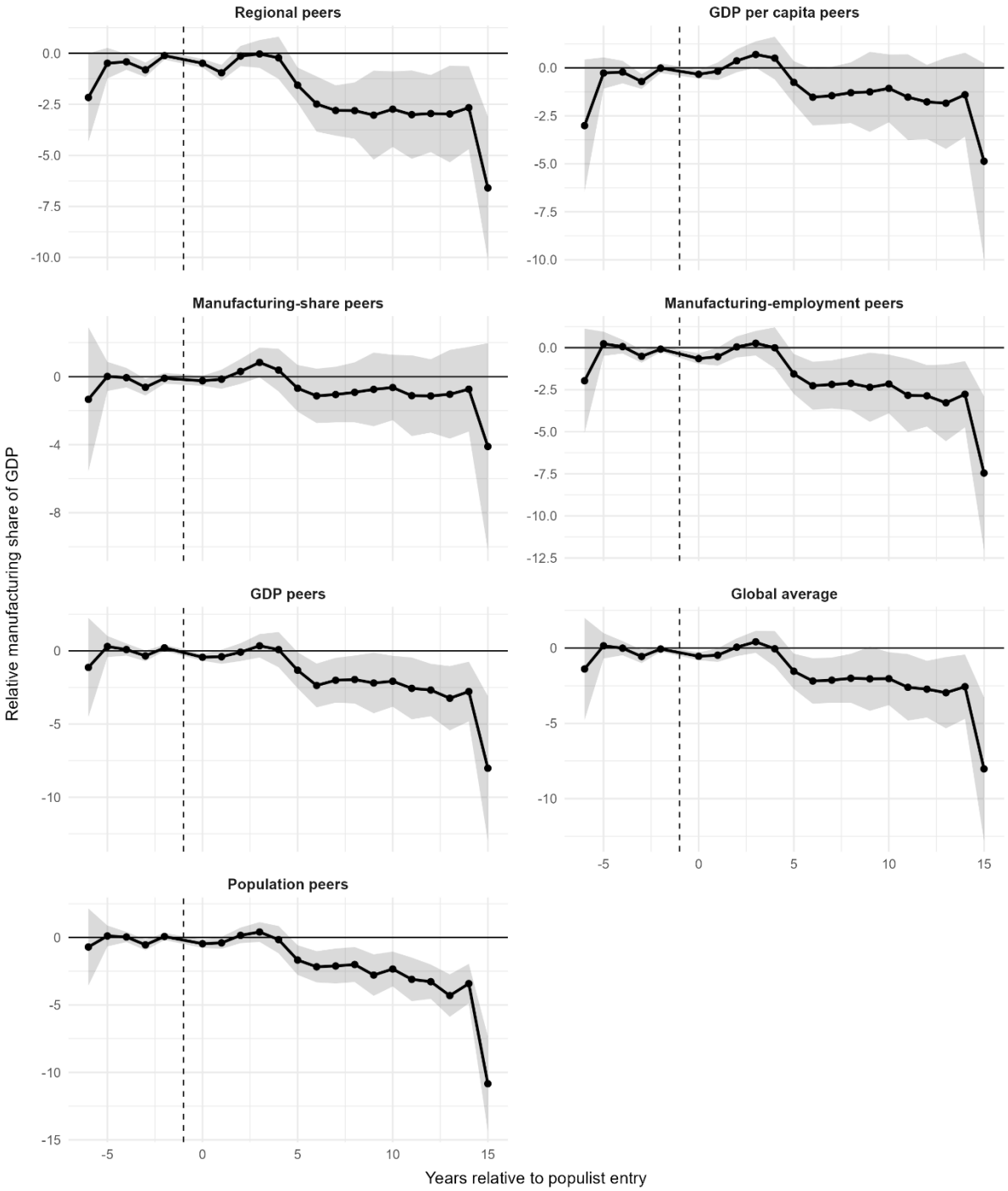
Each coefficient β_k measures the average difference in the outcome at event time k relative to the year immediately preceding populist entry ($k = -1$), after controlling for country and year fixed effects. Pre-treatment coefficients ($k < 0$) provide a diagnostic for pre-trends. Post-entry coefficients ($k \geq 0$) trace the dynamic evolution of manufacturing outcomes following populist entry.

Standard errors are clustered at the country level allowing for serial correlation and heteroskedasticity within countries over time. Confidence intervals shown in figures correspond to 95 percent confidence intervals based on clustered standard errors. Joint significance of event-time coefficients is assessed using Wald tests.

The analysis follows is organized around outcomes from the Sun-Abraham event study with 95% confidence intervals – manufacturing share of GDP, manufacturing share of employment, manufacturing output in levels and manufacturing employment in levels – and presents results relative to all peer groups. This allows us to consider pre-entry trends, post-entry trends and a broader interpretation of results.

Manufacturing Share of GDP

GRAPH 2: Manufacturing Share of GDP Around Populist Entry Relative to Peers



Pre-entry Across the benchmark definitions, the coefficient at event time -2 is negative and statistically significant, indicating that manufacturing's relative share of GDP was lower two years before entry than in the omitted year immediately preceding entry. Because the estimates fluctuate near zero in the remaining pre-treatment periods, the evidence does not indicate a prolonged pre-entry deterioration. Rather, it suggests a short improvement in manufacturing's relative position immediately before populists assume office.

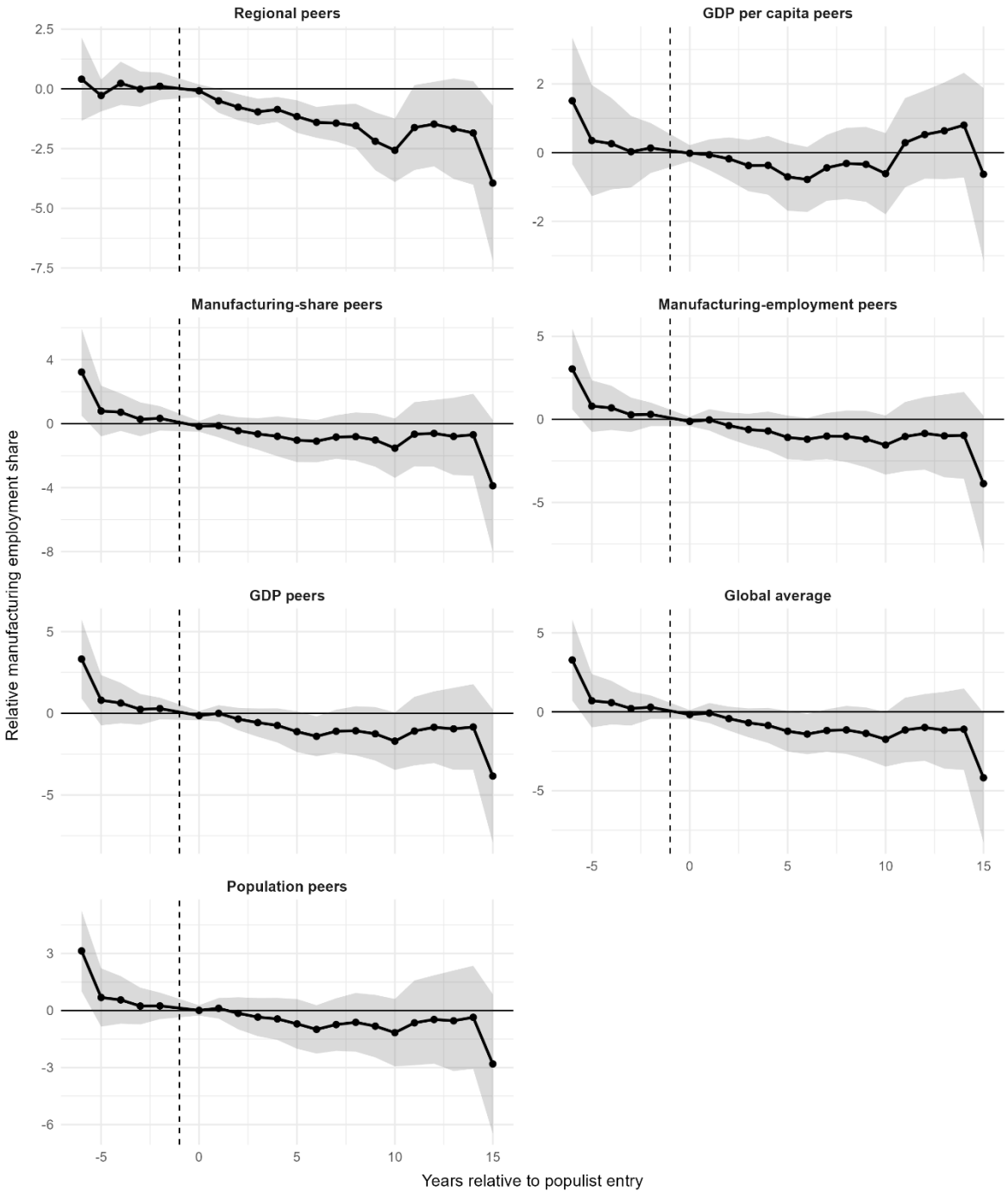
Post-entry Following populist entry, manufacturing's share of GDP generally seems to decline, especially over longer time horizons. Following populist entry, manufacturing's share of GDP generally seems to decline, especially over longer time horizons. In the first year after populist entry, however, the estimates are mixed across peer groups: only two of the seven point estimates are negative, and none is statistically significant, as all 95% confidence intervals include zero. Relative to all peer categories, there is a subsequent, but not statistically significant, boom in manufacturing's share of GDP during periods +2, 3 and 4. This is followed by a statistically significant and declining trend thereafter in the same five cases. The pattern is most clear in the Population peer case where it is both an ever-worsening trend and increasingly statistically significant. Finally, in all cases the results in the final period, +15, which is an average of all subsequent results, is strongly negative and significant in the same five cases, suggesting that the situation never improves in these countries and just worsens over time.

Interpretation Taken together, these results suggest that manufacturing's relative share of GDP often changes immediately before populist entry. While the remaining pre-treatment coefficients provide little evidence of a prolonged pre-entry decline, the negative estimate at event time -2 indicates that manufacturing's relative position improved between two years before entry and the year immediately preceding populist entry. Although the temporary boom results are not significant, the broad story across peer groups is that populists seem to take actions that briefly improve the situation. They start in office with persistent negative results but are able to reverse the trend briefly from negative and significant to at least non-significant – here for periods +2, 3 and 4 – but then are unable to stop the long-term and declining trend that dominates the rest of the post-populist period. This suggests that populists may very well campaign on this issue and potentially even enact policies intended to improve the situation which actually validates their political support, at least in this regard. While the effort ultimately fails, the temporary yet limited success suggests why this continues to be part of campaign rhetoric and why voters consider it credible.

These results are also wholly consistent with the Austay et al (2025) "walking stick hypothesis" that argues populists engage in policies that re-allocate resources along ideological lines leading to a temporary improvement but a longer run decline. Viewed in that light, these results suggest there is a long-run trend toward declining manufacturing shares in these countries and the populist's policies had a temporary offsetting effect but are also partially responsible for a worse subsequent decline than would otherwise have occurred. Viewed in a positive populist light, this might explain why populists continue to make this claim: they can point to the limited success (periods 2, 3 and 4) of their policies and claim that they would have continued to succeed if they had longer time in office or, later, a return to office.

Manufacturing Employment Share

GRAPH 3: Manufacturing Employment Share Around Populist Entry Relative to Peers



Pre-entry Graph 3 shows a visually consistent but less precisely estimated pre-treatment pattern. The early-history bin is positive and statistically significant in several benchmark definitions, while subsequent coefficients trend gradually toward the omitted year immediately preceding populist entry. This suggests that manufacturing employment's relative importance was greater further in

the past and had diminished by the time populists entered office. Because most individual pre-treatment coefficients are not statistically significant, however, the evidence is better interpreted as suggestive of gradual convergence than as a precisely estimated year-by-year decline.

Post-entry After populists assume office, this deterioration generally worsens and, here, without any temporary improvement at all as in Graph 2. Relative to Regional peers, the decline is pronounced and increasingly statistically significant. In all other cases, manufacturing employment shares remain broadly flat then continue their gradual decline with only a handful of coefficients differing from zero in isolated years (period +6 relative to GDP peers and the Global average). There is no indication that populist governments restore manufacturing employment relative to comparable countries.

Interpretation Populist governments appear to frequently inherit countries in which manufacturing employment remains relatively high by international standards but has been declining steadily for several years. Yet the event-study evidence indicates that this deterioration generally continues after populists assume office. Combined with Graph 2, this finding suggests that populists may be responding to manufacturing being of shrinking relevance to GDP (as seen in Graph 2) along with visible declines in manufacturing employment (Graph 3) which would be consistent with populist designs to play off people's fears (Bergh and Kärnä 2022), ability to blame "others" and promise improvement if elected. As noted above (see Graph 2 discussion), they may even be able to point to limited success in reversing these trends.

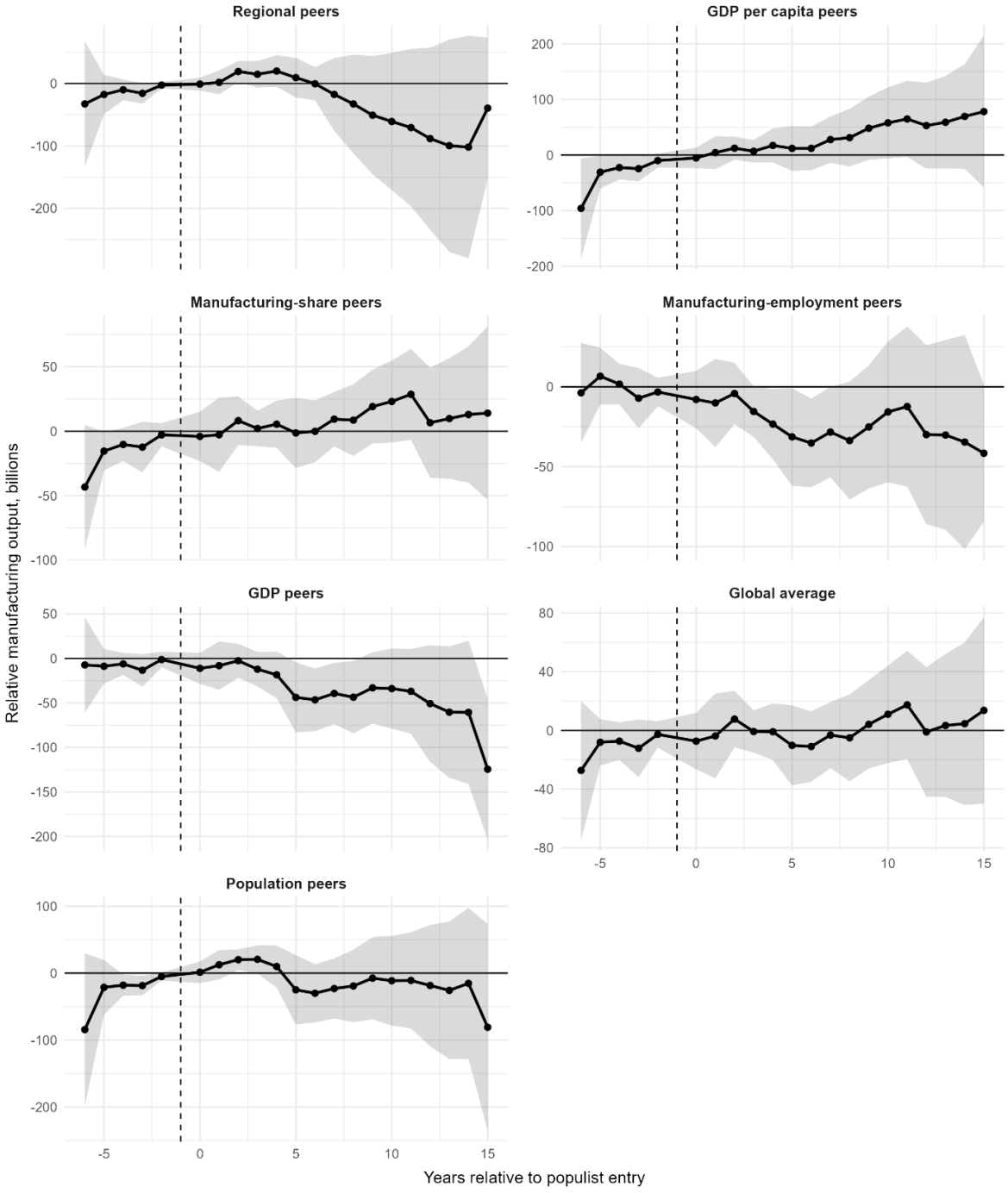
Manufacturing Output Levels

Pre-entry - Unlike the relative-share measures, manufacturing output levels, as shown in Graph 4, display modest yet insignificant improvements pre-treatment pattern relative to most benchmark definitions.

Post-entry - Post-treatment estimates likewise vary across benchmark definitions. Some peer groups display temporary gains while others show modest declines over longer horizons. No benchmark exhibits a sustained increase that is consistently reproduced across the remaining comparisons. There are only two individual instances of negative and significant (in period +6 GDP peers and Manufacturing-employment peers) results which tell us very little.

Interpretation The level of manufacturing output therefore appears dominated by country-specific circumstances rather than a systematic response to populist governance. This is true prior to populist entry and post as well. The diversity of responses contrasts sharply with the more uniform manufacturing share of GDP and manufacturing share of employment results.

GRAPH 4: Total Manufacturing Output Level Around Populist Entry Relative to Peers



Combining these results – that manufacturing output is not generally distinguishable between levels in eventual-populist countries and in peers - with Graph 2's results that manufacturing's share of GDP tends to be lower in eventual-populist countries does, however, suggest that populist countries tend to have relatively larger GDP levels than do their peers. Interestingly, we control for this with our GDP peers benchmark and this is category displays one of the few instances of a negative and significant results across all Graphs: in Graph 2 in all periods +6 and

greater, in Graph 3 in period +6 only, in Graph 4 in periods +5 and 6 and, as well see in the next section, in Graph 5 in period +6 only. Holding total GDP relatively constant, eventual populists show consistently negative trends post-entry with varying degrees of statistical significance and persistence over longer horizons. Pre-entry trends are generally non-significant although we did find one instance of statistical difference when the period -6 result was statistically greater than zero relative to GDP peers as well (see Graph 3 and discussion).

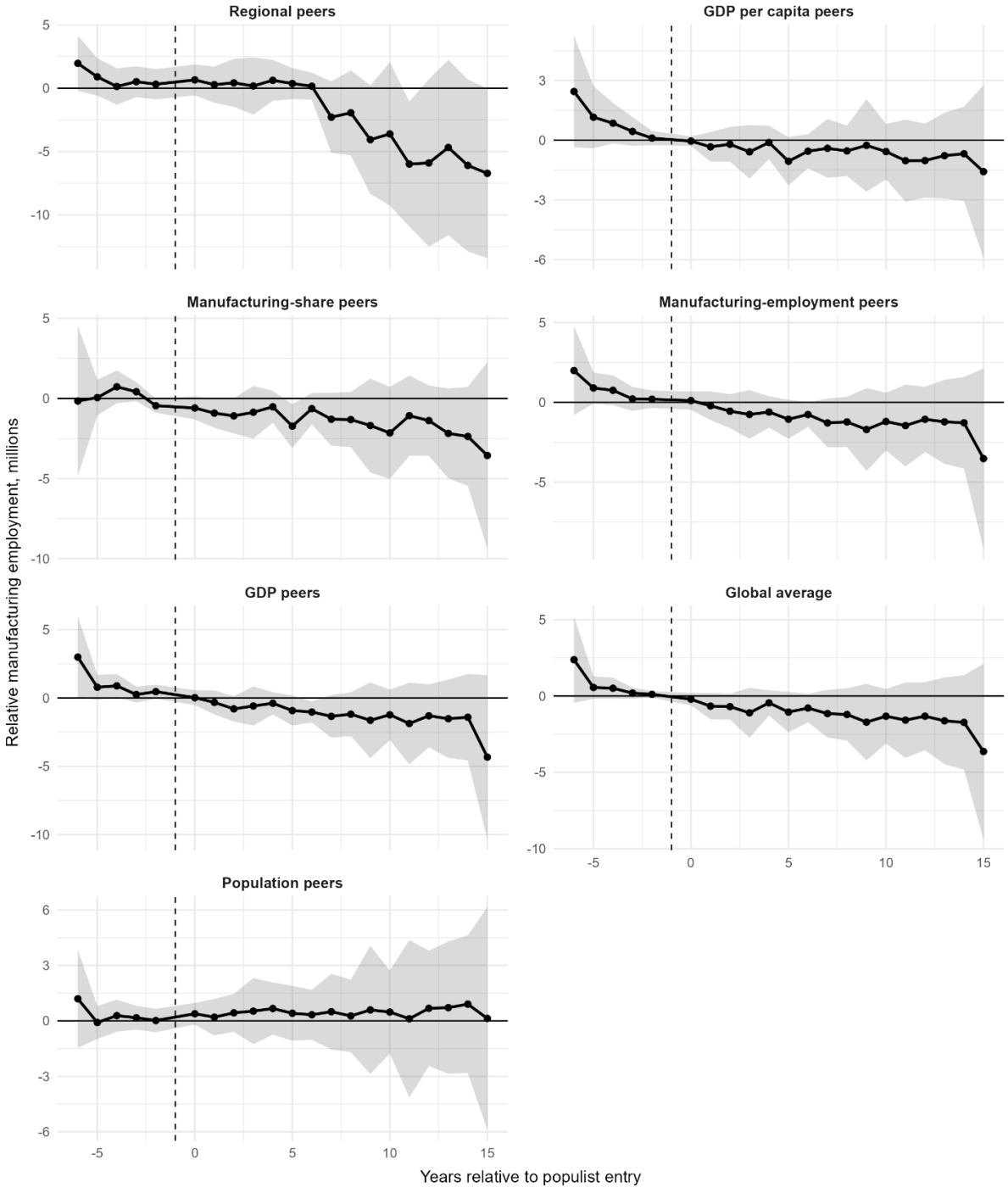
Manufacturing Employment Levels

Pre-entry As seen in Graph 5, manufacturing employment levels broadly mirror the employment-share results. Countries entering populist regimes often begin with relatively large manufacturing workforces, though less consistently here and with no cases that are statistically significant.

Post-entry Following populist entry, manufacturing employment levels generally remain flat or continue drifting downward relative to comparable countries. Although the magnitude of estimates varies across benchmark definitions, none provide convincing evidence of sustained employment growth attributable to populist governments. There are only two isolated statistically significant negative estimates: Manufacturing-share peers period +5 and GDP peers period +6.

Interpretation The employment-level evidence reinforces—and qualifies—the conclusions drawn from the previous event studies. As with manufacturing employment shares, populist governments frequently seem to inherit manufacturing sectors that exhibit signs of gradual relative weakening prior to entering office. Unlike manufacturing's share of GDP, we find few instances of statistical significance and hence little insight into actual trends relative to peers.

GRAPH 5: Total Manufacturing Employment Level Around Populist Entry Relative to Peers



Interpretation and Implications

The event-study results complement the earlier two-way fixed-effects estimates. Whereas the TWFE analysis summarizes the average association between populist governments and manufacturing performance, the event studies demonstrate that this average is not concealing

important dynamic improvements occurring later in a government's tenure. Across both static and dynamic specifications, the evidence consistently indicates that populist governments rarely achieve sustained improvements in manufacturing relative to comparable countries.

Several broader patterns emerge from the event-study analysis. First, the principal post-entry conclusion is robust across alternative benchmark definitions: populist governments do not generate sustained improvements in manufacturing. Second, the pre-treatment results show that the manufacturing environments inherited by populist governments are not entirely static, but the patterns differ across outcomes. Manufacturing's share of GDP improves immediately before entry relative to its omitted baseline, while manufacturing employment shares appear to have declined from higher levels further in the past. These patterns are suggestive rather than uniform and should not be interpreted as evidence that manufacturing conditions cause populist entry. Finally, the temporary post-entry stabilization visible in several specifications does not persist. Over longer horizons, manufacturing shares frequently deteriorate relative to their pre-entry positions, while output and employment levels show no systematic improvement.

These findings should be interpreted in light of the political promises that motivate the analysis. Across both left- and right-wing variants of populism, governments frequently campaign on restoring domestic manufacturing through tariffs, industrial policy, reshoring initiatives, or other interventions. The descriptive pre-treatment evidence suggests that such promises often resonate because populists inherit manufacturing sectors that remain economically and politically salient despite exhibiting signs of relative weakness. The post-treatment evidence, however, indicates that these inherited conditions are generally not transformed after populists enter office.

Taken together, the pre-treatment evidence offers a possible context for populist manufacturing rhetoric rather than a single explanation for populist support. Different countries may enter populist periods after different combinations of diminished historical employment importance, recent relative weakness, or broader perceptions of industrial insecurity.

Conclusion

This paper examines whether populist governments succeed in achieving one of their most frequently stated economic objectives: rebuilding domestic manufacturing. Using a panel of 86 countries between 1960 and 2019, we compare manufacturing performance during populist governments with performance in comparable peer countries using both two-way fixed-effects models and dynamic event-study methods. By evaluating multiple manufacturing outcomes across several alternative benchmark definitions, we provide a broad assessment of whether populist governments systematically alter manufacturing performance after entering office.

Our principal finding is twofold. First, populist governments do not systematically increase manufacturing output or employment, either in levels or as shares of the broader economy. While some individual event-time estimates attain statistical significance, these effects are generally isolated, short-lived, and not consistently reproduced across alternative benchmark definitions. Temporary stabilization or improvement occasionally occurs—particularly for manufacturing's share of GDP—but these gains are not sustained and frequently give way to longer-run relative deterioration. Second, the event studies identify differences in manufacturing conditions prior to populist entry, but these patterns vary across outcomes and benchmark definitions and therefore do not support a single characterization of the manufacturing environments in which populists come to power. Instead, they highlight the importance of distinguishing inherited manufacturing conditions from the subsequent effects of populist governments.

The analysis also provides new descriptive evidence on the manufacturing environments that precede populist entry. Although these pre-treatment patterns should not be interpreted causally, they suggest that concerns over manufacturing frequently predate populist governments and may help explain why promises of industrial revival resonate politically. The event-study framework therefore contributes not only to evaluating the effects of populist governments but also to characterizing the economic environments in which those governments typically emerge.

More broadly, our findings suggest that the political importance of manufacturing should not be confused with governments' ability to transform long-run structural economic trends. Manufacturing remains central to populist political narratives across countries and ideologies, yet the evidence presented here indicates that these promises rarely translate into sustained improvements once populists assume office. Understanding why concerns over manufacturing continue to generate strong political support despite limited evidence that populist governments subsequently reverse long-run manufacturing trends remains an important question for future research.

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Data Availability Statement: Our economic data comes from two public sources cited in the paper, the Global Macroeconomic Database and the World Bank. Our populist classifications come from Funke et al. (2023). The alternative classification data comes from Austay et al (2026) and Hawkins et al (2019) and its particular combination thereof is described in the paper. Any and all data and code used is available upon request from the authors.

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The Appendix

TABLE A.1. Countries and Data Availability.

Country	Manuf %GDP	Manuf %Emp	Country	Manuf %GDP	Manuf %Emp
Albania	2005–2017	2005–2017	Korea	1960–2020	1991–2020
Argentina	1965–2020	1991–2020	Kyrgyzstan	2005–2017	2005–2017
Armenia	2012–2018	1998–2018	Latvia	1995–2020	1991–2020
Australia	1990–2022	1991–2022	Lithuania	1995–2020	1991–2020
Austria	1976–2020	1991–2020	Luxembourg	1995–2020	1991–2020
Azerbaijan	2008–2013	2008–2013	Macedonia	2006–2016	2006–2016
Belarus	2001–2022	2001–2022	Malaysia	1960–2020	1991–2020
Belgium	1995–2020	1991–2020	Malta	1970–2020	1991–2020
Bolivia	1970–2020	1991–2020	Mexico	1965–2022	1991–2022
Brazil	1960–2022	1991–2022	Moldova	2001–2019	2001–2019
Bulgaria	NA	1991–2021	Mongolia	2005–2009	2005–2009
Canada	1997–2021	1991–2022	Montenegro	2008–2018	2008–2018
Chile	1960–2022	1991–2022	Myanmar	2011–2022	2011–2022
China	2004–2020	1991–2020	Netherlands	1969–2020	1991–2020
Colombia	1965–2020	1991–2020	New Zealand	1971–2020	1991–2020
Costa Rica	1970–2018	1991–2018	Nicaragua	1994–2022	1991–2022
Croatia	1995–2022	1991–2022	Norway	1970–2021	1991–2021
Cyprus	1975–2020	1991–2020	Panama	1970–2019	1991–2019
Czechia	1993–2020	1991–2020	Paraguay	1962–2020	1991–2020
Denmark	1966–2020	1991–2020	Peru	1960–2020	1991–2020
Dominican Rep.	1965–2020	1991–2020	Philippines	2000–2022	1991–2022
Ecuador	1960–2021	1991–2021	Poland	1995–2020	1991–2020
Egypt	1974–2020	1991–2020	Portugal	1995–2020	1991–2020
El Salvador	1999–2022	1999–2022	Romania	1991–2022	1991–2022
Estonia	1995–2020	1991–2020	Russia	2002–2020	1991–2020
Finland	1975–2020	1991–2020	Serbia	2001–2017	2001–2017
France	1960–2022	1991–2022	Singapore	1997–2022	1997–2022
Georgia	2004–2018	2004–2018	Slovakia	1995–2020	1991–2020
Germany	1991–2020	1991–2020	Slovenia	1995–2020	1991–2020
Ghana	2005–2009	2005–2009	South Africa	1960–2022	1991–2022
Greece	1995–2020	1991–2020	Spain	1995–2020	1991–2020
Guatemala	1965–2020	1991–2020	Sweden	1980–2021	1991–2021
Honduras	1960–2022	1991–2022	Switzerland	1990–2021	1991–2021
Hungary	1995–2020	1991–2020	Tajikistan	1994–2022	1994–2022
Iceland	1995–2020	1991–2020	Thailand	1960–2020	1991–2020
India	1960–2022	1991–2022	Turkey	1960–2020	1991–2020
Indonesia	1983–2022	1991–2022	Turkmenistan	1993–2004	1991–2022
Iran	2005–2013	2005–2013	Ukraine	2005–2019	2005–2019
Ireland	1995–2020	1991–2020	United Kingdom	1990–2020	1991–2020
Israel	1995–2020	1991–2020	United States	1997–2021	1991–2021
Italy	1990–2021	1991–2021	Uruguay	1983–2020	1991–2020
Japan	1994–2020	1991–2020	Uzbekistan	2010–2015	2000–2015
Kazakhstan	1999–2015	1999–2015	Venezuela	1968–2011	1991–2022

TABLE A.2: Populist Regimes and Country Details from Funke et al (2023)

Country	Leader	Years	Country	Leader	Years
Argentina	Perón	1973–1974	Italy	Lega M5Sa	2018–
Argentina	Martínez	1974–1976	Japan	Koizumi	2001–2006
Argentina	Menem	1989–1999	Mexico	Echeverría	1970–1976
Argentina	Kirchner	2003–2007	Mexico	López Obrador	2018–
Argentina	Fernández	2007–2015	New Zealand	Muldoon	1975–1984
Bolivia	Estenssoro	1960–1964	Peru	Garcíac	1985–1990
Bolivia	Morales	2006–2019	Peru	Fujimori	1990–2000
Brazil	Collor	1990–1992	Philippines	Estrada	1998–2001
Brazil	Bolsonaro	2019–	Philippines	Duterte	2016–
Bulgaria	Borisov	2009–2013	Slovakia	Mecˇiar	1994–1998
Bulgaria	Borisov	2014–2017	Slovakia	Fico	2006–2010
Bulgaria	Borisov	2017–	Slovakia	Fico	2012–2018
Ecuador	Velasco	1960–1961	South Africa	Zuma	2009–2018
Ecuador	Velasco	1968–1972	South Korea	Roh	2003–2008
Ecuador	Bucaram	1996–1997	Taiwan	Chen	2000–2008
Ecuador	Correa	2007–2017	Thailand	Shinawatra	2001–2006
Germany	Hitler	1933–1945	Turkey	Erdogˇan	2003–
Greece	Tsipras	2015–2019	United Kingdom	Johnson	2019–
Hungary	Orbánc	2010–	United States	Trump	2017–
India	Gandhic	1966–1977	Chile	Ibáñez	1925
India	Modi	2014–	Chile	Alessandri	1925
Indonesia	Sukarno	1949–1966	Poland	Law and Justice (PiS)	2005–2007
Indonesia	Widodo	2014–	Poland	Law and Justice (PiS)	2015–
Israel	Netanyahu	1996–1999	Slovakia	Mečiar	1990–1991
Israel	Netanyahu	2009–	Slovakia	Mečiar	1992–1994
Italy	Berlusconi	1994–1995	Venezuela	Chávez	1999–2013
Italy	Berlusconi	2001–2006	Venezuela	Maduro	2013–
Italy	Berlusconi	2008–2011			

TABLE A.3: Peer Group Bin Details

GDP-size Peer Groups	Count	GDP per capita Peer Groups	Count
Large GDP	18	High income	24
Upper-middle GDP	18	Upper-middle income	17
Lower-middle GDP	18	Lower-middle income	23
Small GDP	18	Low income	8
No baseline GDP (2000)	14	No baseline GDPpc (2000)	14
Region Peer Groups		**Population Peer Groups**	
Western Europe	20	Large population	8
Central & Eastern Europe	17	Upper-middle population	11
Latin America & Caribbean	17	Lower-middle population	20
Former Soviet Union / Eurasia	10	Small population	33
South & Southeast Asia	7	No baseline population (2000)	14
East Asia	4		
Middle East & North Africa	4		
North America	3		
Oceania	2		
Sub-Saharan Africa	2		
		Manuf. Share of Employment	
Manuf. Share of GDP Peer Groups		**Peer Groups**	
High manuf/GDP (Q4)	17	High manuf emp (Q4)	21
Upper-middle manuf/GDP (Q3)	16	Upper-middle manuf emp (Q3)	20
Lower-middle manuf/GDP (Q2)	16	Lower-middle manuf emp	21
Low manuf/GDP (Q1)	17	Low manuf emp (Q1)	21
No baseline manuf/GDP (2000)	20	No baseline manuf emp (2010)	3

Group 1: Region

Our regional peer groups (and country count) are as follows: **North America:** Canada, Mexico, and the United States. **Latin America & Caribbean:** Argentina, Bolivia, Brazil, Chile, Colombia, Costa Rica, Dominican Republic, Ecuador, El Salvador, Guatemala, Honduras, Nicaragua, Panama, Paraguay, Peru, Uruguay, and Venezuela. **Western Europe:** Austria, Belgium, Denmark, Finland, France, Germany, Greece, Iceland, Ireland, Italy, Luxembourg, Malta, Netherlands, Norway, Portugal, Spain, Sweden, Switzerland, and the United Kingdom. **Central & Eastern Europe:** Albania, Bulgaria, Croatia, Czechia, Estonia, Hungary, Latvia, Lithuania, Macedonia, Moldova, Montenegro, Poland, Romania, Serbia, Slovakia, Slovenia, and Ukraine. **Former Soviet Union / Eurasia** (Non-EU post-Soviet states): Armenia, Azerbaijan, Belarus, Georgia, Kazakhstan, Kyrgyzstan, Russia, Tajikistan, Turkmenistan, and Uzbekistan. **East Asia:** China, Japan, Korea, and Mongolia. **South & Southeast Asia:** India, Indonesia, Malaysia, Myanmar, Philippines, Singapore, and Thailand. **Middle East & North Africa (MENA):** Egypt, Iran, Israel, and Turkey. **Sub-Saharan Africa:** Ghana and South Africa. **Oceania:** Australia and New Zealand.

Our other peer groups are based on GDP, population and manufacturing shares. Since countries can move in and out of various non-regional peer groups over time, we choose a base year to define a country's peers.

Group 2: GDP Size (baseline year: 2000).

Countries are grouped by overall economic size using log GDP in the baseline year 2000. We use log GDP rather than levels to reflect the highly skewed global distribution of output and to ensure that differences between small and large economies are economically meaningful rather than mechanically driven by scale. Countries are assigned to quartiles based on the cross-country distribution of log GDP in 2000, creating four size-based peer groups that are stable over time and comparable in relative economic mass.

Group 3: Population Size (baseline year: 2000).

Population groups are defined using population levels in the year 2000, which is approximately the midpoint of the main sample period (1980–2019). Thresholds are chosen to be roughly log-spaced, reflecting the nonlinear scaling of population across countries, while remaining interpretable in absolute terms. This grouping captures demographic scale independently of economic size and allows comparisons between countries facing similar labor-force and market-size constraints.

Group 4: GDP per Capita (baseline year: 2000).

GDP per capita groups are constructed using income levels in 2000, reflecting differences in development rather than scale. Two complementary approaches are used. First, countries are grouped using standard income categories (low, lower-middle, upper-middle, and high income), which align with conventional development classifications and facilitate interpretation. Second, for robustness, we also construct quartile-based GDP per capita groups, which ensure equal group sizes and avoid sensitivity to external income thresholds.

Group 5: Manufacturing Share of GDP (baseline year: 1990).

Countries are grouped based on their manufacturing value-added share of GDP in 1990, an early pre-period benchmark that precedes most of the major structural changes studied in the paper. Using an early baseline minimizes endogeneity concerns and helps capture long-run differences in industrial structure. Quartiles of the cross-country distribution are used to define groups, allowing countries to be compared against peers with similar initial manufacturing intensity.

Group 6: Manufacturing Employment Share (baseline year: 2010).

Manufacturing employment groups are defined using the manufacturing share of total employment in 2010. Unlike other variables, manufacturing employment data are only available from 2000 onward, making 2010 the approximate midpoint of the 2000–2019 sample window. Grouping countries by quartiles of manufacturing employment share captures differences in labor allocation across sectors while preserving comparability across countries with varying labor-market structures.